Nine

The Economic Impact of British Rule

The British conquest had a pronounced and profound economic impact on India. There was hardly any aspect of the Indian economy that was not changed for better or for worse during the entire period of British rule down to 1947.

Disruption of the Traditional Economy

The economic policies followed by the British led to the rapid transformation of India's economy into a colonial economy whose nature and structure were determined by the needs of the British economy. In this respect the British conquest of India differed from all previous foreign conquests. The previous conquerors had overthrown Indian political powers, but had made no basic changes in the country's economic structure; they had gradually become a part of Indian life, political as well as economic. The peasant, the artisan and the trader had continued to lead the same type of existence as before. The basic economic pattern, that of the self-sufficient rural economy, had been perpetuated. Change of rulers had merely meant change in the personnel of those who appropriated the peasant's surplus. But the British conquerors were entirely different. They totally disrupted the traditional structure of the Indian economy. Moreover, they never became an integral part of Indian life. They always remained foreigners in the land, exploiting Indian resources and carrying away India's wealth as tribute.

The results of this subordination of the Indian economy to the interests of British trade and industry were many and varied.